

Contracting Out

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This Session

- Introduction and Framing the Problem
- Private Ordering in Copyright Law
- Contractual Overridability and its Implications
- Case Studies & Empirical Insights
- Legal and Policy Responses

Rethinking Ownership

What does ownership mean to you?

Do you own it?

Spotify Playlists

Kindle Books

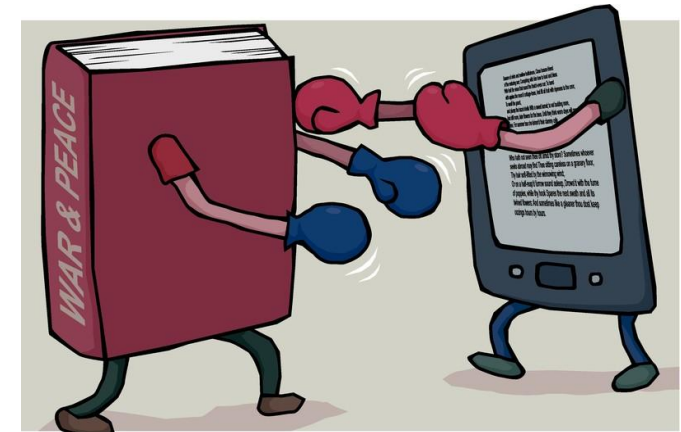
Movies on Amazon/Apple

Digital Games

Introduction and Framing the Problem

From Ownership to Licensed Access

- Digital content is increasingly accessed under licence rather than owned
- Licensing allows rights holders to retain control even after distribution
- As a result, access to information now depends on contractual permission rather than proprietary entitlement.
- Contracts increasingly determines how information is used; how it is shared, and whether it persists
- Users face constant changes in access terms, even for content they “own”, example: George Orwell’s *1984*



[Courtesy of Metropolitan Library System](#)

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Why This Shift Matters

- Copyright was designed around ownership of copies and user freedoms following purchase.
- There is a steady contraction in users' freedom to access, experience, transform, and share creative materials
- Uses once protected by law, may now be limited by agreement
- The balance between authors and users is therefore increasingly shaped by contract.

If legislatures created copyright to balance private reward and public access, what happens when that balance is rewritten through contract?

Private Ordering in Copyright Law

- Private ordering refers to regulatory arrangements created by private actors
- Digital markets rely heavily on contracts to regulate access and use of creative works.
- These agreements operate alongside and sometimes beyond copyright law.
- Most agreements in digital markets are concluded through electronic contracts, usually in the form of clickwrap or browsewrap licences
- Standard-form licensing lies at the heart of private ordering in digital markets
- One of the most significant consequences of contractual culture and standard-form licensing is the shift from ownership to licensing

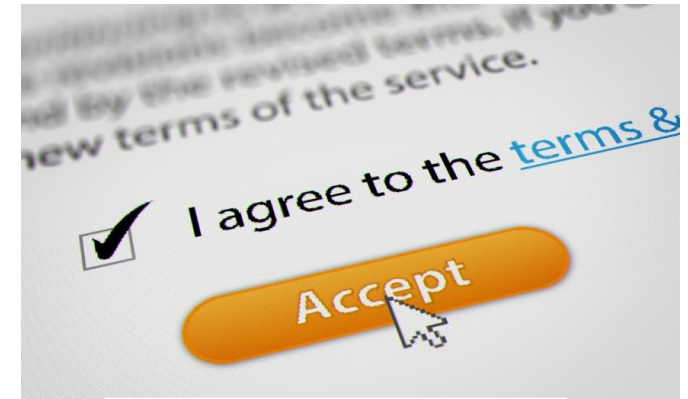


Photo: Shutterstock

Exercise

Read the terms and conditions of The Guardian:

<https://www.theguardian.com/help/terms-of-service>

Task: Identify clauses that appears to require permission where copyright law might not.

Contractual Overridability and its Implications

- Contractual overridability arises when licence terms require users to waive statutory copyright exceptions
- Viva Moffat introduces the concept of “super-copyright”
- Lawful acts are reclassified as contractual breaches
- Copyright exceptions are displaced at the point of access.
- Freedom of Contract as a defence
- Digital contracts are standard-form, non-negotiable, and rarely read
- Limitations are structural safeguards that preserve the balance between exclusive rights and the public interest in access, expression, and innovation.
- As Lucie Guibault observes, rights risk becoming theoretical rather than effective.

Case Studies and Empirical Insights

- First empirical research ***“What We Buy When We “Buy Now”*** by ***Aaron Perzanowski and Chris Hoofangle*** shows that users consistently misunderstand the legal nature of digital transactions
 - The use of commercial language such as “Buy Now” creates a strong expectation of ownership
- Second empirical study ***“End-User Flexibilities in Digital Copyright Law – An Empirical Analysis of End-user License Agreements”*** by ***Péter Mezei and István Harkai*** complements this consumer-focused research by examining how EULAs regulate user behaviour across digital platforms
 - Licensing terms grant only expressly stated rights, restricting uses that copyright law would otherwise permit.

Legislative and Policy Response

- **The UK Approach**

- 2014 CDPA reforms introduced limited protection against contractual override
- s.29A (Text & Data Mining) → conflicting contract terms unenforceable
- s.30A (Parody) → conflicting contract terms unenforceable
- Protection is selective, not comprehensive
- Shift from “void” → “unenforceable” creates uncertainty

- **European Approach**

- InfoSoc Directive (2001/29/EC) signals concern about contractual override
- Art. 6(4) → users must benefit from exceptions despite technological protection measures

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- More explicit approach appears in sector-specific EU legislation
 - **Software Directive (2009/24/EC)**
 - Certain exceptions are non-waivable
 - Conflicting contractual terms are legally ineffective
 - **DSM Directive**
 - Art. 3 -Text & data mining cannot be overridden by contract
 - Art. 7 - Conflicting contractual terms are unenforceable